

7-3 Cash Controls over Receipts and Payments

Objective 3 - Describe and illustrate the application of internal controls to cash.

Cash (Coins, currency (paper money), checks, money orders, and money on deposit that is available for unrestricted withdrawal from banks and other financial institutions.)

includes coins, currency (paper money), checks, and money orders. Money on deposit with a bank or other financial institution that is available for withdrawal is also considered cash. Normally, you can think of cash as anything that a bank would accept for deposit in your account. For example, a check made payable to you could normally be deposited in a bank and, thus, is considered cash.

Businesses usually have several bank accounts. For example, a business might have one bank account for general cash payments and another for payroll. A separate ledger account is normally used for each bank account. For example, a bank account at City Bank could be identified in the ledger as *Cash in Bank—City Bank*. To simplify, this chapter assumes that a company has only *one* bank account, which is identified in the ledger as *Cash*.

Cash is the asset most likely to be stolen or used improperly in a business. For this reason, businesses must carefully control cash and cash transactions.